# RESERVE BANK OF INDIA (SYNTHETIC SAMPLE)

FICTIONAL CIRCULAR FOR THE NIYAM DEMONSTRATION · RECEIVED BY JKL FINANCE LTD (SYNTHETIC)

RBI/2026-27/SYN-044

DoR.FIN.REC.SYN-44/03.10.119/2026-27 October 20, 2026

All Non-Banking Financial Companies in the Middle Layer and the Upper Layer

Madam / Sir,

Concentration and Capital Norms for NBFCs

THIS IS A SYNTHETIC CIRCULAR PREPARED FOR A DEMONSTRATION. IT IS NOT ISSUED BY THE RESERVE BANK OF INDIA.

1. Applicability. These directions shall apply to Non-Banking Financial Companies in the Middle Layer and the Upper Layer.

2. Capital adequacy. An NBFC shall maintain a capital ratio of not less than 15 per cent of its aggregate risk weighted assets.

3. Concentration.

(a) An NBFC shall not take an exposure to a single counterparty exceeding 20 per cent of its Tier 1 capital.

(b) The aggregate exposure of an NBFC to its twenty largest borrowers shall not exceed 61 per cent of its total loans and advances.

4. Reporting. Any exposure flagged under paragraph 3 shall be placed before the Board of Directors within 30 days.

5. Commencement. These directions shall come into force on January 1, 2027.

Yours faithfully,

(Synthetic Signatory)

Chief General Manager (SYNTHETIC)